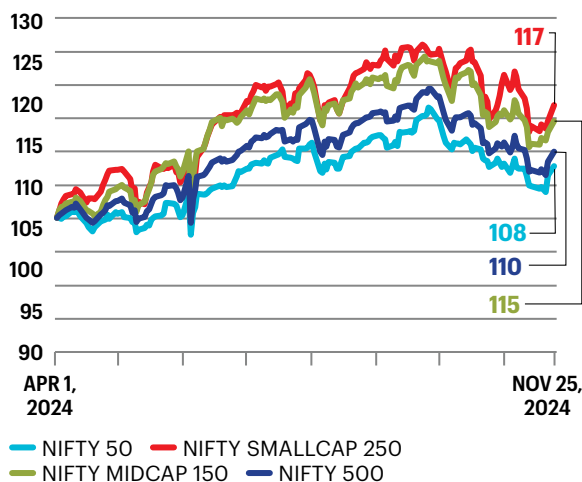


THE RECENT FALL

● After entering in a correction phase, Nifty50 and broader indices witnessed a marginal recovery due to short coverings and victory of the incumbent Mahayuti alliance in Maharashtra



NOTE DATA INDEXED TO 100 SOURCE ACE EQUITY

FMCG companies delivered low to mid-single digit volume growth, with categories like personal care and beverages delivering under-par performances,” he says, adding an uptick in festive sales and rural demand and moderation in food inflation are the key for the second half of FY25.

Interestingly, India’s annual retail inflation spiked to a 14-month high of 6.21% in October, surpassing the RBI’s tolerance range. This has led to fears of delayed easing of interest rates.

The auto sector also faced challenges, with original equipment manufacturers (OEMs) offering a cautious growth outlook. Vakil says, “High inventory, tapering demand growth, and high base year volumes and grim outlook given by the OEMs, coupled with high valuations led to a significant sell-off in the auto stocks with the index falling since the end of Q2.”

Meanwhile, the Nifty IT index has posted a 1% gain. Anirudh Garg, Partner and Fund Manager of Sebi-registered portfolio management service provider Invasset PMS, expects the IT industry to experience robust growth.

Aggressive selling by FIIs added to the woes. FIIs

₹1.20
lakh crore

WORTH OF SHARES OFFLOADED BY FIIs FROM
OCT 1 TO NOV 20

offloaded shares worth ₹1.16 lakh crore between October 1 and November 14, driven by shifting investment trends, including a renewed interest in China after its stimulus measures and increased allocations to markets like Japan and Taiwan. According to investment banking firm JM Financial, Japan received \$16.61 billion in inflows in October, while Taiwan saw inflows of \$1.13 billion.

At the same time, FII ownership in Indian equities fell to 15.9% in October 2024, its lowest level since October 2014, when the ownership dipped to 19.7%.

Analysts remain optimistic about the prospects of the Indian markets. Vakil says, “India macro growth story is solid and it remains the fastest-growing major economy in the world. The recent inflows into China can be seen as a short-term tactical move.”

Azeez concurs, saying, “Despite recent flows into China’s market, FIIs are believed to be in the final stages of their sell-off in Indian markets, and we expect the outflow pressure to ease soon.”

Adding to the gloom was a weak Q2 earnings season for India Inc. Companies in the Nifty 50 index reported a 5.25% growth in consolidated net profit—the second-lowest in the past 17 quarters. The broader Nifty Midcap 150 and Nifty Smallcap 250 indices fared worse, posting over 2.5% year-on-year decline so far in consolidated net profit (as of November 14) for the quarter ended September 2024.

Garg calls the situation a mixed bag, stating, “Elevated input costs weighed on profit margins. Additionally, the effects of persistent inflationary pressures have led to cautious spending in urban areas, affecting sales growth of consumer-oriented businesses.”

However, there is cautious optimism for Q3, driven by expectations of a festive season boost and a rebound in government spending. Vinod Nair, Head of Research at investment services company Geojit Financial Services, says, “The preview for Q2 was weak, and the actual performance is worse than the forecast.” He expects Q3 to be better, driven by a rebound in government spending.

The rupee hit a record low of 84.46 against the US dollar on November 14, marking a 1.5% decline year-to-date. A weaker rupee typically heightens inflationary pressures and suggests interest rates may remain elevated for a prolonged period. Furthermore, Donald Trump’s victory in the US presidential elections could strengthen the dollar.

Vakil explains the dual impact of a weakening rupee. “This would affect sectors reliant on imports—oil, machinery, and electronics—by driving up input costs. Exporters in sectors like pharma, textiles, and auto components could benefit, given that a weaker